



KATHLEEN VALLEY

VICTORIA MEDVEC

Adam Baxter Company/Local 190 1978 Negotiation Baxter Management Confidential Information¹

You are a senior personnel officer for Adam Baxter Company, a large consumer food products company. You were promoted to the position seven months ago after being a junior personnel officer for many years. Your father was a management negotiator for Baxter years ago, and you are honored and humbled by the chance to follow in his footsteps. It is your responsibility, along with that of two other senior personnel officers, to negotiate contracts with the unions in each of Baxter's plants. It is June 1978, and bargaining at the Deloitte plant is about to take place.

After 16 years working for Baxter at the Deloitte plant, Baxter's operations and labor relations history are very familiar to you (see **Appendix A** for Historical Background Information). The Deloitte plant is Baxter's flagship operation, producing about 75% of Baxter's total output. The plant currently has approximately 2,000 FTE (full-time employees). Seventeen hundred are hourly employees, and members of the Local 190, an AFL/CIO affiliate.

Local 190 has always been a maverick local union. Founded in 1933, it operated as an independent union until joining the Congress of Industrial Organizations (CIO) in 1943. For years, Local 190 was a highly vocal and influential member of the CIO. The CIO was more militant than the other large American industrial union, the American Federation of Labor (AFL). In 1955, the AFL and CIO merged. By 1978, the AFL/CIO represented over one million members. In contrast to its initial independent status and its early influence with the CIO, Local 190 has watched its influence diminish to the point where it is now only one small voice in a large chorus.

Baxter, Deloitte, has been the industry exemplar of a plant with excellent labor/management relations. Adam Baxter, Jr., the company president from 1929 to 1946 and son of Adam Baxter, Sr., founding President, was one of the best managers in the history of the industry. Faithful to his father's values, he established the innovative policy of having workers share in the profitability and stability of the company. In fact, a fairly cooperative labor-management atmosphere existed from 1933 through the late 1970s. Though the first union contract was signed into effect in 1933 after a long strike, all labor agreements since have been negotiated without strike or lockout. Since Baxter's death in 1954, Baxter management has moved away from his paternalistic view and has moved toward a more straightforwardly financial perspective, but the company treats its employees very

¹ Endnotes (indicated by letters) are summarized in the final case, "Adam Baxter Company/Local 190 Debrief and Endnotes," HBS No. 396-326.

well and excellent labor/management relations continue. The general sentiment expressed by employees is that “If a man is going to work for anybody else, it is hard to beat Baxter.”^a Both management and the employees have always been proud of their company and their town, and rightfully so.

Baxter, Deloitte has been extremely fair and reasonable in past contract negotiations and has had excellent relations with Local 190 leadership. In 1940, Baxter and the Deloitte local union made labor history by being one of the only companies to have a permanent “working agreement,” or base labor contract. After 1940, instead of renegotiating the entire contract at the end of each contract period, union and management at the Deloitte plant simply added modifications to the permanent working agreement.

Historically, Baxter labor agreements for the Deloitte plant have included:

1. *A guaranteed annual wage.* The consumer food products industry is seasonal, and other companies handle this through frequent layoffs. Baxter, Deloitte’s employees are guaranteed an annual wage (weekly wages x 50). This was an innovation in the industry.
2. *Annual bonus.* The annual bonus reflects the profitability of the company. Since Baxter has earned steady profits since the early 1970s, the employees have been generously paid for their efforts over the past decade.
3. *A “no-layoffs” policy.* In an industry where layoffs are common, regular full-time workers at the Deloitte plant cannot be laid-off without a 52-week advance notice. This effectively gives all of the full-time employees complete job security.
4. *Worker autonomy and incentive pay.* The employees work under a group incentive program. As long as each team meets its production target each day, its members are free to determine the work rules. Once the target is met, work above that level earns incentive pay for each worker on the team. This can make the weekly paycheck up to 100% higher than base. Alternatively, a worker can choose to take a break or take the rest of the day off once the team target is met. You believe the targets were set rather low for they were nearly always met, and many employees earned substantial incentive pay.
5. *Escalator clause.* This isn’t something unique to Baxter. Because of pattern bargaining,² escalator clauses have been standard in the industry since the 1950s. The escalator clause means that employees automatically have their wages adjusted to the Consumer Price Index (CPI). Due to the skyrocketing inflation rates during the 1970s, the escalator clause has cost Baxter a great deal of money. You personally would like to see it eliminated from the working agreement.

Modifications or additions to the working agreement are noted in an addendum as “memoranda of understanding” (see **Appendix B**). In the past, even verbal agreements were sufficient. You know this is due in large part to Baxter’s leadership; contracts elsewhere in the industry are much more conventional.

Competitive forces and new consumer behavior suggests that some changes may need to be made in the way Baxter conducts business. Beginning in the early 1960s, Iowa Food Processors (IFP), one of Baxter’s major non-union competitors, began expanding their production and sales. Because their

² In pattern bargaining, one contract negotiation within the industry (usually that of the largest employer) sets the contract standards for the entire industry. These standards are normally met by all other contracts, but there is no legal requirement that other employers or local unions follow standards set in pattern bargaining.

employees are not unionized, their hourly wages (which are not pegged to the CPI) are half what Baxter pays its Deloitte employees. This, combined with IFP's ability to hire and layoff with seasonal changes in demand, means their overall production costs are substantially lower than Baxter's. All of the unionized companies are feeling the squeeze. Over 200 food processing companies have gone out of business since the early 1970s. Many of the firms that remain are attempting to lower their costs and increase their output per employee. Even Baxter's employees were forced to accept wage concessions in the early 1960s.

In an attempt to increase operating efficiency and remain competitive, Baxter's top management has recently decided to build a new, one million square foot facility, replacing the outdated, 80-year-old facility currently operating in Deloitte. Baxter's president explained, "This new facility will replace the original 'home' plant, many parts of which have become obsolete and inefficient." While it is nice to have the corporate headquarters and most of the production facilities located together in Deloitte, the company has openly stated that it would consider locating the new plant elsewhere. In fact, Baxter management has just announced its intention to build the new plant outside Deloitte. While this is more a threat than an actuality at this point, top management really is willing to build elsewhere. This is reasonable, since profit should be the determining factor when making a decision involving such a large capital expenditure. If building the plant elsewhere means more profits, then it should be a serious consideration.

In addition to the threat of locating the new plant outside Deloitte, a less competitive division of its Deloitte plant was closed down in 1976, forcing the company to give 52-week layoff notices to 226 employees. In the past month, the company has given 52-week layoff notices to 325 additional Deloitte employees. These moves have created quite a stir in the union membership.

Your team is planning its strategy for the approaching negotiation. If the negotiation proceeds as has always happened historically, Baxter management and Local 190 need only agree on new clauses or changes in the working agreement. Contracts last for seven years, so negotiations must attempt to deal with issues that are not yet clearly understood. Most of the issues being discussed have arisen because of Baxter's announcement of a new facility. There are five issues you want to make sure are covered in this negotiation:

- Worker autonomy and target production levels in new plant
- Group incentive system
- Escalator clause
- Location of the new plant
- Wages and benefits

Each one is discussed in more detail below. As you plan for the negotiation, you realize that Local 190 may want to raise additional issues. While your team is to do all the negotiating with three Local 190 officers, ratification is left to the top management team of Baxter. Any agreement ratified by top management must then be voted on by Local 190 members; a majority of "yes" votes from the 1,700 members is required for final ratification.

Worker Autonomy and Target Production Levels

It is clear that the level of worker autonomy at the current Deloitte facility is inefficient. The old plant operates at only 80% of the industry average production level. Because of the working agreement with the union, management has been prevented from increasing the production levels. Production levels will of course have to be negotiated after the new plant is built and has been up

and running for a while, once you know what is possible with the new facilities. Since no specific production targets can be set at this time, you want to get the agreement to state in principle that the new plant will operate at higher production levels than the employees are currently enjoying. Ideally, you would like daily targets to reflect the amount of work that could be done by a highly motivated, efficient team in eight hours. Such optimistic targets are very likely to require a higher level of management authority. The employees will no doubt view higher targets and tighter management control as reducing their autonomy, but if Baxter is to remain competitive, the new plant's output must adequately reflect capital expenditures on new technology.

Control over worker autonomy and target productivity levels are the most important issues to management. You know that top management will not consider locating the plant in Deloitte unless they have Local 190's agreement on these issues.

Group Incentive System

Linked with management control over operation of the new plant is the issue of incentives. The current incentive structure which pays all team members a substantial hourly base rate and then substantially more for any production beyond their minimal daily targets only invites loafing. The average employee takes home another 60% of base pay in incentive payments. This makes it obvious that current production targets are too lax. It makes no sense to spend millions on capital improvement if the employees aren't required to push the line to its capacity.

The incentive system is based on production targets that you believe are far too lenient and incentive payments that are far too generous. Consequently, the company has been losing money while the employees have benefited. It is management's top priority to eliminate or drastically reduce incentive pay at the new facility. This is consistent with other Baxter locations which run at acceptable production levels without the expense of an incentive system.

Once again, management control over operations and the elimination, or at least containment of the incentive program are the company's most important issues in this negotiation. Baxter will not locate its new facility in Deloitte if they have to continue the inefficient and costly incentive program currently in the working agreement.

Escalator Clause

The cost-of-living increases have become unreasonable. Inflation has spiraled throughout the 1970s and will continue to do so as long as companies peg wages to the CPI. While the escalator clause has been part of the working agreement for decades, it cost Baxter dearly during the 1970s; management wants to put it on the negotiating table. You hope to stop the automatic increases completely, but at the very least you would like them deferred and paid when the new plant is operating at full capacity.

Location of the New Plant

You and your colleagues knew that the people in Deloitte would be surprised by Baxter's announcement that it was considering locating its new facility in another town. You live in Deloitte and know that most people in town consider Baxter to be synonymous with Deloitte. The town's prosperity has always been entwined with Baxter's profitability. In fact, the corporation and its

philanthropic foundation, the Adam Baxter Foundation, which owns over 40% of Baxter's stock, has a charter that insures control of the foundation and the corporation will always stay with residents of Deloitte. But that only means corporate headquarters must stay in Deloitte; the production facilities could be anywhere. Personally, you agree that it would be a shame to have the plant leave Deloitte. From a business perspective, however, you know that the current costs of operating in Deloitte, given the working agreement, are bound to be much higher than they would be at a new site.

This is an issue you are quite willing to discuss with Local 190. Management would prefer to locate the new plant in Deloitte, but only if the employees agree to have the facility run in a way that makes the company more profitable. You know that if Baxter builds the new plant elsewhere, it will be devastating for the town's economy, and that Baxter may suffer from a severe public relations problem. But IFP is here to stay, and other non-unionized competition is surely on the way—the new plant must operate without the drain on profitability that results from high wages, overly generous incentive plans, and worker autonomy clauses in the current working agreement.

Wages and Benefits

Finally, wages are always an issue. Currently, the workers are paid \$10.69/hour, plus incentive pay for production over target, and annual bonuses based on the company's profitability. (See **Exhibit 1** for a financial summary.) Because of the existing bonus and incentive systems, employees sometimes earn up to twice their guaranteed annual salary. This seems unreasonable, since their current wage of \$10.69/hour is close to the industry average. While money is obviously important, the per hour wage is less important to you than management control over production and elimination of the incentive program. You could raise the wage if the other pay programs are eliminated.

The benefits package received by Deloitte employees, which includes holidays, vacations, rest periods, meal periods, overtime and holiday pay, and health and retirement benefits, is based on the industry norms, as determined by a pattern set in earlier bargaining by another local at a different company. You expect the union to agree to keep this standard of comparable benefits.

Summary

These five issues are very important to you and you want to make sure they are considered during the negotiation with Local 190's team. At an absolute minimum, Local 190 must be willing to make major concessions in worker autonomy and incentives if the new plant is to be built in Deloitte. You want to make sure your team negotiates an agreement that top management will be able to support and that will ensure the continued viability of Baxter into the future.

You are also considering asking for a no-strike pledge if the plant is built in Deloitte. This seems unnecessary, since the Local 190 has not called for a strike in almost 50 years, but the company wants to assure smooth transition into the new facility.

You believe prevailing in this negotiation is necessary in order to remain profitable in the face of today's competitive and economic challenges. While you contemplate the best way to approach this negotiation, you think back about the complex, mutually beneficial, and long-lasting relationship between Local 190—a strong and vocal advocate for the benefits of worker voice both within and outside Baxter—and the Adam Baxter Company—a profitable, once family-run business now competing in a demanding economic environment.

Exhibit 1 Financial Summary: Adam Baxter Company and Subsidiaries (in thousands of dollars)

	1978 ^a	1977	1976 ^b	1975	1974	1973	1972	1971	1970 ^b	1969
Operations										
Net Sales	\$1,244,865	\$1,106,274	\$1,094,832	\$ 995,593	\$ 943,163	\$ 825,671	\$ 719,755	\$ 686,487	\$ 695,768	\$ 626,017
Net Earnings	20,039	21,951	14,717	13,366	17,369	7,403	7,788	16,664	9,933	9,236
Percent of Sales	1.61%	1.98%	1.34%	1.34%	1.84%	0.90%	1.08%	2.43%	1.43%	1.48%
Wage Costs	200,631	191,719	179,588	167,049	151,052	129,419	129,277	127,775	116,921	104,325
Total Taxes	18,431	23,276	14,127	13,102	18,094	8,717	9,431	19,053	12,648	12,260
Depreciation	11,551	11,313	10,697	9,140	7,667	7,125	6,417	5,435	4,918	3,830
Financial Position										
Working Capital	\$ 89,298	\$ 79,253	\$ 63,957	\$ 64,350	\$ 48,659	\$ 34,256	\$39,275	\$43,646	\$37,818	\$39,339
Properties (net)	103,992	99,921	97,465	85,398	74,392	67,481	60,178	51,841	45,683	38,767
Total Assets	275,442	258,283	228,585	224,488	193,696	179,950	149,468	153,144	129,416	115,788
Stockholders' Investment	166,870	153,363	136,792	126,879	117,932	104,654	101,187	96,175	83,081	76,480
Per Share of Common Stock										
Net Earnings	\$ 4.17	\$ 4.57	\$ 3.06	\$ 2.78	\$ 6.62	\$ 1.54	\$ 1.63	\$ 3.50	\$ 2.09	\$ 1.94
Dividends	1.36	1.12	1.00	0.92	0.84	0.81	0.78	0.75	0.70	0.63
Stockholders' Investment	34.74	31.93	28.48	26.42	24.55	21.77	21.04	20.20	17.45	16.07

^aProjected; based on 4 month actual.^b53 Weeks.

Appendix A Adam Baxter Company Historical Background Information

Founded	1891, by Adam Baxter, Sr., in Deloitte, Iowa.
Ownership	40% of stock owned by philanthropic foundation, The Adam Baxter Foundation. Charter requires that residents of Deloitte maintain control of Baxter and the Adam Baxter Foundation.
Business	Consumer food products
Earnings	1977: Sales: \$1.1 billion Profits: \$22 million (1.98 % of Sales)
Commitment to Deloitte	One out of every four paychecks in Deloitte (a town of 23,000) written by Baxter. 75% of Baxter's production takes place at the Deloitte plant.
Employee status	Low turnover, wages high relative to community standards, high reported loyalty to Baxter.
Union status	Employees represented by Local 190, affiliated with AFL/CIO.

Appendix B**Memoranda of Understanding³**

We, the undersigned, agree that the following terms will be modified in the existing working agreement between the Adam Baxter Company, Deloitte and Local 190 of the AFL/CIO. (Additional sheets may be attached.)

Signed on behalf of the Adam Baxter Company and Local 190, AFL/CIO (All negotiators sign below):

³ A copy of this sheet should be turned in after the negotiation is complete.